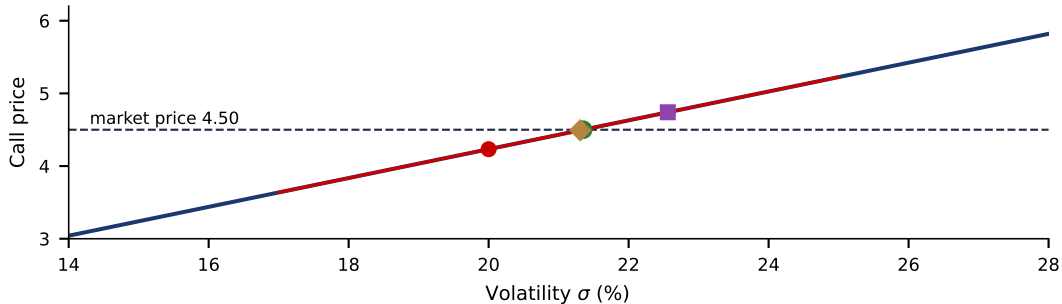




— Black-Scholes price $BS(\sigma)$

● Newton $\sigma_1 = 21.35\%$ (exact 21.35%)

◆ Start with correction 21.31%

— Tangent at $\sigma_0 = 20\%$ (Newton step)

■ Start without correction 22.56%